

Debentures

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

A debenture is written evidence of a company's long-term debt to its debentureholder. It in most keys carries a fixed coupon rate and a fixed or determinable repayment date. A debentureholder is a creditor, not an owner, and has no general voting right.

Item Must-know treatment

Issue price per debenture Face value + premium on issue – discount on issue

Annual interest Number of debentures × face value × coupon rate

Secured debenture Protected by a charge on specified company assets

Unsecured debenture Not backed by a specific company asset

- Interest is calculated on face value, not the amount received by the company.
- Redeemable debentures can be repaid by payment, purchase, conversion, or a sinking fund arrangement.
- Issue discount, loss on issue, and premium on redemption are in most cases written off over the debentures' life.
- For CS Executive Accounting, this topic carries about 3% weightage and can yield 5-10 marks through one complete question.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Nature and Classification

A debenture acknowledges a debt under the company's common seal. It can be secured or unsecured, registered or bearer, redeemable or irredeemable, and convertible or non-convertible. A secured debenture is backed by a charge, while an unsecured or naked debenture has no specific asset security.

Basis Main categories Distinction

Security Secured; unsecured Charge is created only for secured debentures

Registration Registered; bearer Ownership transfer differs between the two

Redemption Redeemable; irredeemable Repayment date is fixed only for redeemable debentures

Conversion Convertible; non-convertible Convertible debentures can be exchanged for shares

Issue and Interest

Debentures can be issued at par, discount, or premium. When a ₹1,000 debenture is issued at ₹980 with interest at 9%, annual coupon interest remains ₹90 because coupons use face value.

$$\text{Annual interest} = N \times F \times r$$

Here, (N) is the number of debentures, (F) is face value in rupees, and (r) is the annual coupon rate expressed as a decimal. For ₹500 debentures, annual interest is $₹500 \times 9\% = ₹45$.

- Journal entry for cash issued at par: debit Bank and credit Debentures.
- At discount: debit Bank by cash received and debit Discount on Issue by the difference, then credit Debentures at face value.
- At premium: debit Bank by cash received and credit Securities Premium and Debentures for their respective amounts.
- Interest accrues from the issue date and is recognised as a finance or borrowing cost.

Redemption and Reserves

Redeemable debentures can be repaid at maturity, through drawings, open-market purchase, or conversion. Premium on redemption is debited to the Statement of Profit and Loss, except where a sinking fund provides the amount.

A Debenture Redemption Reserve is created from divisible profits when legally required. It does not itself repay debentureholders; it separates profits available for distribution. A sinking fund invests equal annual amounts, and investment income is reinvested to build the redemption sum.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Loss on Issue and Effective Cost

The loss associated with debentures can include issue discount and premium on redemption. When these amounts cannot be charged through another permitted account, they are written off over the debentures' life.

$$\begin{aligned} & \backslash[\\ & \text{Annual loss written off} \\ & = \\ & \frac{\text{Issue discount} + \text{redemption premium} - \text{issue premium}}{\text{Number of years of life}} \\ & \backslash] \end{aligned}$$

This produces a relatively even charge, although companies can adopt a permitted policy under the applicable accounting framework. YTM is different from coupon rate: it equates the issue proceeds with the present value of coupons and redemption cash flows. Thus, a discount can raise YTM above the coupon rate, while a premium can lower it.

Special Transactions

Transaction Required distinction

Collateral security	Record the nominal amount pledged through Debenture Suspense Account
Debentures issued for non-cash consideration	Measure the consideration using the applicable recognition guidance
Forfeiture and reissue	Restore the proportionate discount through Loss on Issue of Debentures
Drawings	Apply cum- or ex-interest terms when repayment occurs between coupon dates

When debentures are issued as collateral security, the lender receives additional protection, but the debentures are not necessarily issued for immediate cash. Therefore, the pledged nominal amount is shown separately and later adjusted when the liability is discharged.

Interest bought with a purchased debenture is accumulated income. The buyer pays accumulated interest to the seller and later receives the full coupon; therefore, only the net interest income is recognised. This distinction also matters for tax deduction at source under section 193 of the Income-tax Act, 1961.

Exam Strategy and Practice

For a 5–10 mark problem, first record the face value, issue proceeds, and redemption price. Then prepare entries for cash, discount or premium, interest, yearly write-off, reserve, investment, and repayment in that order.

₹2,00,000 of 8% debentures are issued at 95 and redeemed at 103 after five years. Calculate annual coupon interest and the annual loss written off, assuming no issue premium.

₹1,00,000 of debentures are secured by an asset valued at ₹1,60,000. Record the collateral-security treatment and explain why the excess asset value is not added to the debenture account.

Common errors include charging interest on issue proceeds, crediting premium to interest, and treating all debenture discounts as permanent assets. Under the CS Executive pattern, direct MCQs commonly test classification, DRR treatment, interest dates, and collateral security.

Continue your study

- View this topic in your CS Executive roadmap — see where "Debentures" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.